NOTE 4 - INCOME TAXES

The income tax payable that was accrued from inception through October 6, 2008 was offset by the Company's net operating loss carry-forward therefore the provisions for income tax in the income statement is $0. The accounting for these losses derives a deferred tax asset for the period from inception to October 6, 2008 of 15,759. However, $78,793 of the net operating loss carryforwards are disallowed due to the change in ownership of more than 50% and the change in continuity of business enterprise.

No provision was made for federal income tax since the Company has significant net operating losses. From October 7, 2008 through November 30, 2008, the Company incurred net operating losses for tax purposes of approximately $4,657. The net operating loss carry forwards may be used to reduce taxable income through 2028. The availability of the Company's net operating loss carry-forwards are subject to limitation when there is a 50% or more change in the ownership of the Company's stock. The provision for income taxes consists of the federal and state minimum tax imposed on corporations.

Deferred income taxes reflect the net tax effects of temporary differences between the carrying amounts of assets and liabilities for financial statement purposes and the amounts used for income tax purposes. Significant components of the Company's deferred tax liabilities and assets as of November 30, 2008 are as follows:

Deferred tax assets:	
Federal net operating loss	$ 698
State net operating loss	233
Total deferred tax assets	931
Less valuation allowance	(931)
	$ --

The Company has provided a 100% valuation allowance on the deferred tax assets at November 30, 2008 to reduce such asset to zero, since there is no assurance that

the Company will generate future taxable income to utilize such asset. Management will review this valuation allowance requirement periodically and make adjustments as warranted.

The reconciliation of the effective income tax rate to the federal statutory rate for the periods ended November 30, 2008 and November 30, 2007 is as follows:

	2008	2007
Federal income tax rate	(15.0%)	(15.0%)
State tax, net of federal benefit	(5.0%)	(5.0%)
Increase in valuation allowance	20.0 %	20.0 %
Effective income tax rate	0.0 %	0.0 %